Outlook

[EXT]:Drone Agreement Inquiry

From Caleb Alexander-McKinzie <[redacted]
Date Thu 9/17/2026 1:39 PM
To Mary Jo Heye-Townsell <mayormaryjo@sherwoodar.gov>; Steve Cobb <scobb@sherwoodar.gov>

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CAUTION: External email.

Hello Mayor and Mr. Cobb,

I've been asked to weigh in on situation regarding a drone contract that the city of Sherwood entered into earlier in the year. Unfortunately, this is a situation where advice was requested after the fact, from multiple parties, and information/fact were provided piecemeal. My advice, as with any attorney, is only as good as the information provided to me.

The facts, as they have been relayed to me, are that the city of Sherwood entered into a contract with a corporation that provides a drone product. After speaking with the Mayor and City Attorney, it is my understanding that the product/service is relatively novel and only being offered through this singular company—i.e. a single source. Additionally, it is my understanding that the product may have been procured, via bidding, by a separate public procurement unit that the City of Sherwood has a cooperative purchasing agreement with, such as TIPS and Sourcewell. The contract, attached, describes a six (6) year contract. During the first year, there is no cost to the city and no payment to the company required—the contract describes this as a "No cost period [which] includes the right to exercise termination for convenience at any point within the first year." See Contract, pp.1 (highlighted). The payment period—i.e. the point where the city will be required to make payment to the company which will require an annual appropriation to be made—"starts at the beginning of the first Renewal Subscription Year," which I take to mean the beginning of the Year 2 Subscription.

In Arkansas, no municipal funds may be expended unless the governing body of the municipality has first appropriated funds. See Ark. Code Ann. § 14-58-203. In all municipalities incorporated under the Mayor/Council form of Government, "the mayor or the mayor's duly authorized representative shall have exclusive power and responsibility to make purchases…and to make all necessary contracts for work or labor to be done or material or other necessary things to be furnished for the benefit of the city." See Ark. Code Ann. § 14-58-303(a). In cities of the first class, all purchases of commodities or service contracts that are in excess of $42,921.00 or a lesser amount if established by city ordinance must be procured through competitive bidding, unless otherwise exempted from by another law or bidding is waived in specific circumstances by resolution of the council. See *Id.* at § 14-58-303(b)(2)(A)(i); 14-58-303(b)(2)(B).

Pertinent to this situation, Arkansas law exempts "goods or services available only from a single source" from the bidding requirement. Ark. Code Ann. § 14-58-104(21)(A). If a city is going to adopt a contract under this exemption, the city is required to provide "(i) Documentation concerning the exclusivity of the single source; and (ii) A written proclamation from the chief executive from the chief executive [the mayor] filed with the clerk or recorder that sets forth the basis for the single source procurement." *Id.* at § 14-58-104(21)(B). Additionally,

municipalities are authorized to enter into cooperative purchasing agreements "for the acquisition of… commodities, or other services in accordance with an agreement entered into between the participants" that allows the city to utilize a bid from another public procurement unity that is a party to the agreement. See Ark. Code Ann. § 19-61-802.

The question I have been presented with is whether this contract was lawfully entered into. I cannot make that determination—I am not a court acting as a finder of fact. My position as Inquiry counsel for the AML's MLDP authorizes me to provide general legal advice to them membership and help assess risk based on the law. To that end, based on the facts that have been presented to me, my understanding of the law, and my review of the contract, it is my opinion that there is some risk that an auditor or a court could find issue with this contract or the process that was followed in entering the contract, **that risk is low**.

To my knowledge, the city of Sherwood has not expended any municipal funds pursuant to this contract and is still within the Year 1 Subscription where the City may exercise the option of cancelling the contract at any time. There are no funds due to the Motorola pursuant to this contract until the beginning of the year 2027, at which time there must be an appropriation for the funds made by the council prior to the expenditure of those funds. There is some risk that audit could issue a finding when conducting it's audit of the 2026 fiscal year if the city does not provide documentation of a sole source bid exemption pursuant to § 14-58-104(21) or a cooperative purchasing agreement with an entity wherein the city as adopted the bid of another party to the agreement. However, as no funds have been expended or are owed in the current fiscal year, I do not believe there is risk that the city can be found to have committed an unlawful expenditure or a violation of Arkansas bidding law. That analysis is highly likely to change for the year 2027 if the correct process is not followed or documentation provided at that time—and again, the funds that will be owed by the city at the beginning of the second year—which should not be earlier than March 16, 2027—must be appropriated before they are expended.

All the best,

Caleb Alexander-McKinzie

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